Win back lapsed regulars without paying for customers who would return anyway

Recommendation: a reminder and personal calls, no blanket discount, with a random holdout.

Breaks even at +1.3 points; a 10 % discount needs +9.7.

736 regulars have gone quiet

They spent £812k in the last 12 months; median 142 days since their last order

- They used to order more often than most customers, but have not ordered for months.
- About a quarter come back within 90 days without anyone asking: 27 % in the same season last year (n = 815).
- Those who come back spend about £562 in 90 days.
- September is different (41 %): peak season brings people back on its own, so it is the wrong time to measure.



Data: UCI Online Retail II (CC BY 4.0), via github.com/MyNameIsZorojuro15/online-retail-analysis. Margin and costs are assumptions; see the workbook.

Three options, one question: how many more must come back?

Break-even = the extra share of customers returning for the option to earn what doing nothing earns

	Cost	Break-even uplift	If uplift is +3 points
A. Do nothing	£0	–	–
B. Email + 10 % discount to all	£750	+9.7 points	–£8,300
C. Reminder email + calls to top 20 %	£2,220	+1.3 points	+£2,747

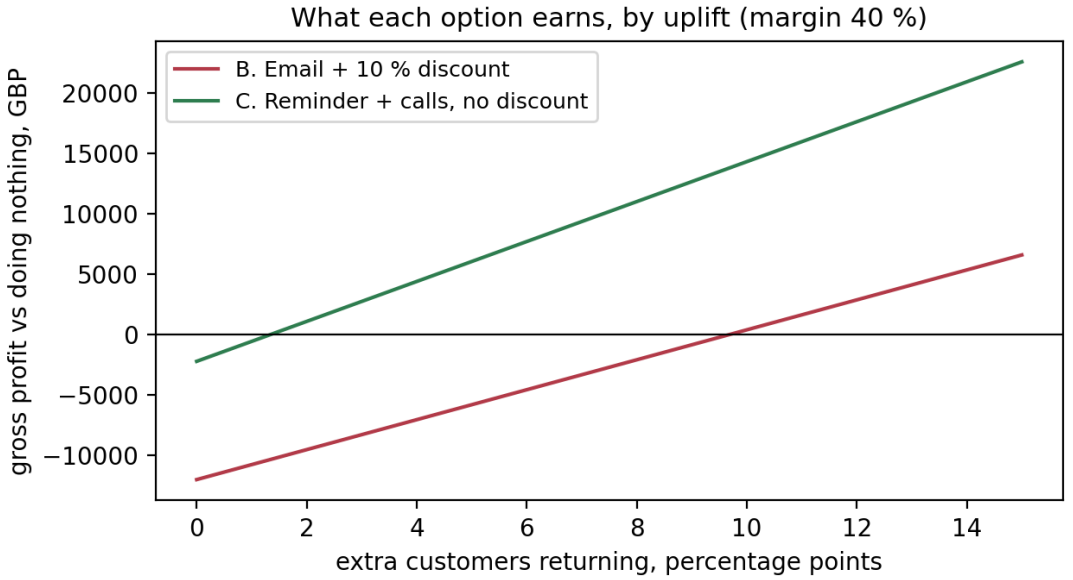
- Margin 40 % and costs are assumptions (workbook, yellow cells). Across margins of 25–50 %, B needs +7 to +19 points and C needs +1.1 to +2.2.
- Each extra point of return rate is worth about £1,656 to option C. Its worst case, no effect at all, costs £2,220.

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Why the discount is expensive

It is paid to every customer who orders, including the quarter who would have ordered anyway

- Without a programme, 27 % return and pay full price. With B, they return at 10 % off: the business gives margin away on sales it already had.
- So B first has to win back enough new orders to cover that lost margin: +9.7 points just to stand still.
- At +3 points (an illustration, not a forecast), B loses £8,300 and C gains £2,747.
- A discount can still work if it is targeted (only top-value customers, or only above a basket size), and tested first.



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Can a pilot prove it? Not in one round

Two-group test, half the segment each, 5 % significance, 80 % power

- With 368 customers per group, the smallest uplift a test can reliably detect is 9.6 points.
- Option B's break-even (+9.7) is detectable: if B does not show a large effect in a pilot, stop it.
- Option C's break-even (+1.3) would need 17,569 customers per group. No single campaign gets there.
- So decide C on economics (small, capped downside) and measure it continuously with a random holdout: a new at-risk group appears every month, and evidence adds up.

Recommendation and next steps

- January: launch option C to the at-risk segment, keeping a random 20 % holdout that gets nothing.
- Every month: refresh the segment, repeat, and compare return rate and 90-day revenue, treatment vs holdout, pooled across months.
- Stop rule: after three months, if the pooled uplift's upper confidence bound is below the break-even uplift, stop and redesign.
- Discount: only as a separate randomised test on top-value customers; scale it only if it clears its own break-even.
- Requirements, user stories with acceptance criteria and the to-be process are in the repository (docs/).